INDIAN ECONOMY

LEVEL II

LECTURES

- BASICS FOR RECAPITULATION
- METHODS OF GDP CALCULATION
- VALUE ADDED METHOD

MODULE - 16

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VARIOUS FUNDAMENTAL ASPECTS FOR RECAPITULATION

MICRO, MACRO, STOCK, FLOW … AND MANY MORE!

1 Ragnar Frisch, a Norwegian economist and the co-recipient of the first Nobel Prize in Economic Sciences coined "Micro" and "Macro" words in 1933.

2 However, Macro economics in its modern form began with John Maynard Keynes and his book "The General Theory of Employment, Interest and Money", published in 1936. Keynes is regarded as the "Father of Modern Macro Economics".

3 Adam Smith is considered the "Father of Capitalism" and the capitalist economy is also termed as a "Free Economy (Laissez-faire)".

4 Karl Marx is known as the "Father of Socialism". The economic motto of capitalism is "Profit", Socialism is "Social Welfare", and "Mixed Economies" is "Social Welfare and Profit Motive".

5 A "stock" refers to quantity of a commodity measured at a point of time. Examples are money supply, foreign exchange reserves, unemployment, ECBs, NRI accounts etc.

6 When the quantities are measured over a period of time, it is the concept of "flow" and examples are national income, imports, exports, consumption, production, investment etc.

VARIOUS FUNDAMENTAL ASPECTS FOR RECAPITULATION

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MICRO, MACRO, STOCK, FLOW … AND MANY MORE!

7 Nobel laureate Simon Kuznets first introduced the concept of "National Income". It means the total money value of all final goods and services produced in a country during a particular period of time.

8 Personal income is the total income received by the individuals of a country from all sources, before payment of direct taxes in a year.

9 Personal income is never equal to the national income due to the simple reason - personal income includes the transfer payments, whereas they are not included in the national income.

10 Personal income = national income - social security contribution and undistributed corporate profits + transfer payments.

11 Disposable income is the individual income after the payment of income tax. This is available for consumption and saving.

12 The idea behind the three methods of GDP calculation revolves around the basic principle, output = income = expenditure.

GROSS DOMESTIC PRODUCT ... FINAL VALUE

WHEAT
Rs. 20

WHEAT FLOUR
Rs. 30

BISCUITS
Rs. 40

GROSS DOMESTIC PRODUCT

The total value of final goods and services produced within a country's borders in a year regardless of ownership.

NOMINAL GDP = GDP MEASURED AT CURRENT PRICES

$$\text{GDP DEFLATOR} = \frac{\text{NOMINAL GDP}}{\text{REAL GDP}} \times 100$$

NOMINAL GDP AND REAL GDP WITH ILLUSTRATION

2020-21

100

REAL GDP

2021-22

112.0

NOMINAL GDP

INCREASE IN PRODUCTION + PRICES

GDP DEFLATOR

107

REAL GDP

INDICATES ONLY REAL INCREASE IN PRODUCTION

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THREE WAYS OF MEASURING GDP GROWTH

1 VALUE ADDED METHOD

Value added = value of production - value of intermediate goods

These represent supply side.

2 EXPENDITURE METHOD

GDP = C + I + G + (X-M)

- C ... Household spending on goods and services
- I ... Capital Investment spending
- G ... Government spending
- X ... Exports of Goods and Services
- M ... Imports of Goods and Services

These reflect essentially on the demand conditions in the economy.

3 INCOME METHOD

Income from people in jobs and in self-employment (e.g. wages and salaries)

+

Profits of private sector businesses

+

Rent income from the ownership of land

THREE WAYS OF MEASURING GDP GROWTH

1 VALUE ADDED METHOD OR PRODUCT METHOD

- It measures the output of the country. It is also called inventory method.
- Under this method, the gross value of output from different sectors like agriculture, industry, trade and commerce etc., is obtained for the entire economy during a year.
- Care should be taken to avoid the double counting.
- The value of output used for self consumption must be counted.
- Sale and purchase of second hand goods should not be included.

INDIA'S NATIONAL ACCOUNTS THROUGH GVA ARE IN TUNE WITH SNA OF UNITED NATIONS!

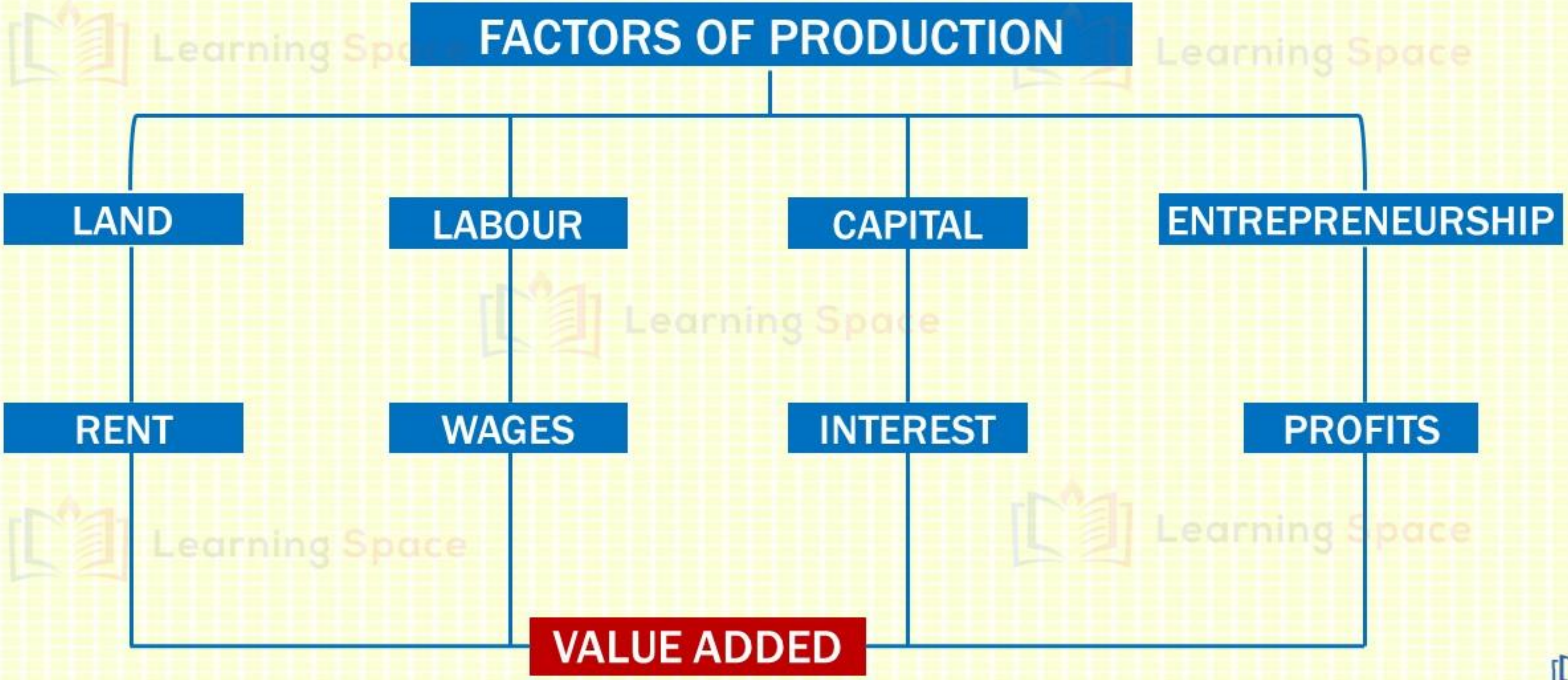
1. In 2015, India opted to make major changes to its compilation of national accounts and bring the whole process into conformity with UN System of National Accounts (SNA) of 2008.
2. As per the SNA, Gross Value Added is defined as the value of output minus the value of intermediate consumption.
3. It is a measure of the contribution to GDP made by an individual producer, industry or sector.

DID INDIA INTRODUCE GVA FOR THE FIRST TIME IN 2015? ... CERTAINLY NOT!

1. Previously, India used to measure Gross Value Added at 'factor cost'.
2. GDP at 'factor cost' was the main parameter for measuring the country's overall economic output, till the new methodology was adopted.
3. In the new series, in which the base year was shifted to 2011-12, GVA at basic prices became the primary measure of output across the economy's various sectors.
4. When we add net taxes on products, it amounts to the GDP.

THREE WAYS OF MEASURING GDP GROWTH

1 GDP CALCULATION BY VALUE ADDED METHOD



THREE WAYS OF MEASURING GDP GROWTH

1 GDP CALCULATION BY VALUE ADDED METHOD

RENT | INTEREST | WAGES | PROFIT

AT FACTOR COST

+

PRODUCTION TAXES →
- Property tax
- Stamp duty
- Registration taxes

\-

PRODUCTION SUBSIDIES → Subsidies given by Govt. to MSMEs

↓

GVA AT BASIC PRICES

THREE WAYS OF MEASURING GDP GROWTH

1 GDP CALCULATION BY VALUE ADDED METHOD

GVA AT FACTOR COST

+

PRODUCTION TAXES

-

PRODUCTION SUBSIDIES

GDP AT MARKET PRICES = GVA AT BASIC PRICES + PRODUCT TAXES - PRODUCT SUBSIDIES

PRODUCT TAXES:
- Excise duty / VAT
- GST

PRODUCT SUBSIDIES:
LPG / Kerosene

NOW, LET US HAVE CONCEPTUAL CLARITY ABOUT THESE THREE WORDS!

1 NATIONAL INCOME

NATIONAL INCOME

=

Net National Product at factor cost

=

NNP at market prices

-

Indirect taxes

+

Subsidies

2 PERSONAL INCOME

PERSONAL INCOME

=

National income

-

(social security contribution and undistributed corporate profits)

+

Transfer payments

3 DISPOSABLE INCOME

- It is the individual's income after the payment of income tax.
- This is available for consumption and saving.

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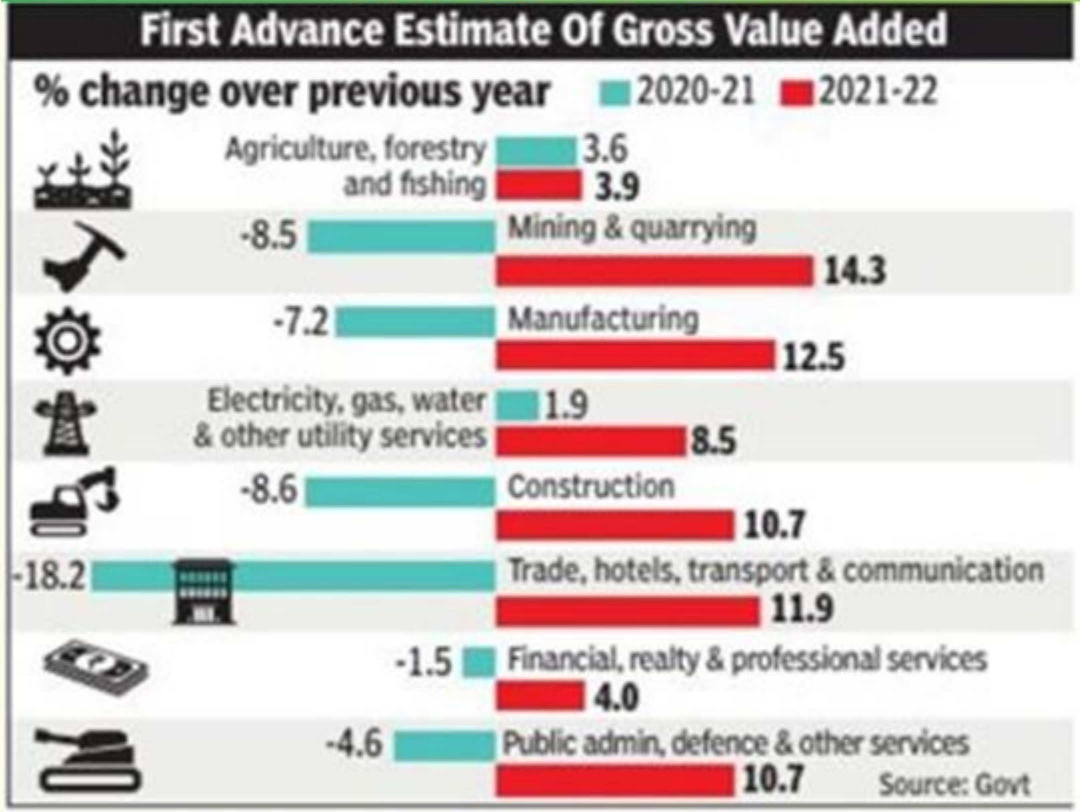
CALCULATION OF NATIONAL INCOME IN DETAIL

- GNP at market prices = GDP at market prices + net factor income from abroad.
- Net National Product at market prices = GNP at market prices - depreciation (capital consumption allowance).
- NNP at factor cost = NNP at market prices - indirect taxes + subsidies.
- National income = NNP at factor cost

THREE WAYS OF MEASURING GDP GROWTH

1 GDP CALCULATION BY VALUE ADDED METHOD

AN ILLUSTRATION ABOUT 8 CATEGORIES



8 BROAD CATEGORIES

- Agriculture, Forestry and Fishing
- Mining and Quarrying
- Manufacturing
- Electricity, Gas, Water Supply and other Utility Services
- Construction
- Trade, Hotels, Transport, Communication and Services related to Broadcasting
- Financial, Real Estate and Professional Services
- Public Administration, Defence and other Services.

THREE WAYS OF MEASURING GDP GROWTH

1 GDP CALCULATION BY VALUE ADDED METHOD

AGRICULTURE & ALLIED SECTORS

Agriculture, forestry and fishing.

INDUSTRY

- Mining and quarrying.
- Manufacturing.
- Electricity, gas, water supply and other utility services.
- Construction.

SERVICES SECTOR

- Trade, hotels, transport, communication and services related to broadcasting.
- Financial, real estate and professional services.
- Public administration, defence and other services.

WHY THE GVA STATISTICS ARE IMPORTANT?

1. GVA is crucial to understand how the various sectors of the real economy are performing.

2. The output or domestic product is essentially a measure of GVA combined with net taxes.

3. From a policymaker's perspective, it is vital to have the GVA data to be able to make policy interventions, where needed.

4. From a global data standards and uniformity perspective, GVA is an integral and necessary parameter in measuring a nation's economic performance.

5. It is also important that any country which seeks to attract capital and investment from overseas is required to conform to the global best practices in national income accounting.

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